

Budgeting Requires Teamwork (If You're Married)

If you're married, your budget must be a team effort. Too often in my coaching career, I've seen one spouse try to control the finances while dragging their partner along for the ride. I've also seen plenty of disinterested spouses surrender control of the family finances to their nerdier better half, but that's a bad plan too. What happens if the nerd in the relationship dies unexpectedly? Losing a spouse is tragic enough on its own, but you don't want it to completely wreck your family's financial progress too. When you work together on the budget, you're working together on your dreams. Ideally, you'll both achieve your goals together, but if you don't, you want to make sure your spouse and kids will be able to enjoy what you've worked for even if you're not there to enjoy it with them.

When I coach couples on how to start the budgeting process, I always suggest they have one big budget meeting every month. In that meeting, they work together to plan out their spending for the month ahead. They account for every penny of their income (both incomes if they both work), and they write down every penny they'll need to spend. Then, when they are sure they have the budget just right, they agree to act like millionaires and *stick to the plan*. As they get used to living on a budget, I also suggest they have weekly mini-meetings to check in on how it's going. No budget is perfect, and minor adjustments should be expected throughout the month—especially if budgeting is a new practice. So I recommend weekly touchpoints so the couple has a dedicated time to review the spending a week at a time, make any adjustments that are necessary, and hold each other accountable to the budget commitment they made to each other. On that note, let me introduce you to Ted and Diane, one millionaire couple who are a perfect picture of financial teamwork.